

Chapter 1: Why Python for Trading?

A New Era in Financial Markets

In the heart of Wall Street on October 19, 1987—a day that would later be known as "Black Monday"—traders frantically shouted orders as the Dow Jones Industrial Average plummeted 22.6% in a single day. Amid the chaos, a handful of firms remained oddly calm. These weren't the established Wall Street giants, but smaller quantitative trading firms using rudimentary computer algorithms that automatically executed sell orders as the market declined, allowing them to minimize losses while traditional traders were still processing what was happening.

This moment marked one of the first major public displays of the power of algorithmic trading—a power that would transform financial markets forever.

Fast forward to today, and algorithms execute more than 70% of all trades in U.S. equity markets. Behind many of these algorithms is a programming language that wasn't even created when Black Monday occurred: Python. This versatile language has become the backbone of modern algorithmic trading, democratizing access to sophisticated trading strategies that were once the exclusive domain of elite financial institutions.